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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education
Advanced Subsidiary Level and Advanced Level

ECONOMICS

Paper 1 Multiple Choice (Core)

9708/13

May/June 2013

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq

Solved with with reasons

This document consists of **12** printed pages.

2

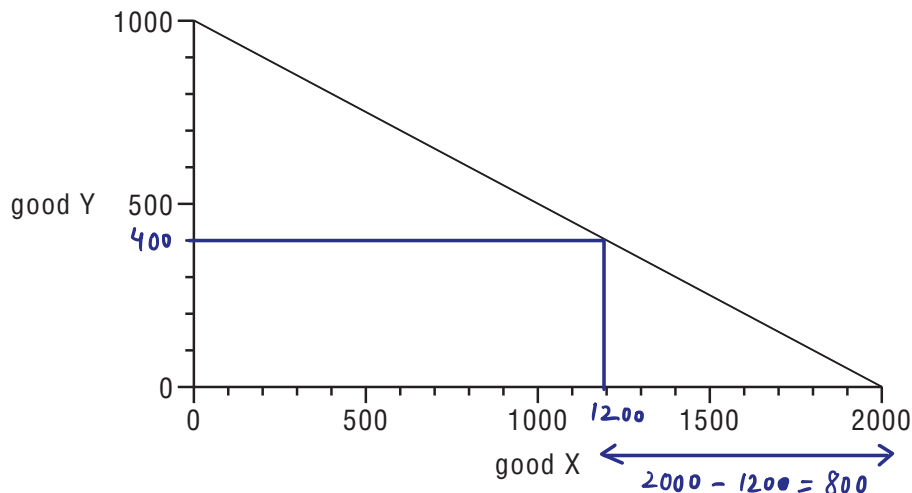
Transition economy

1 What is likely to occur when an economy moves from state planning to a market system?

- A Consumer choice is reduced. *(more)*
 B Enterprise is discouraged. *(more)*
 C The amount of innovation declines. *(more)*
☒ D The output of merit goods is reduced. *(under allocation)*

*price mechanism
 under allocation and
 over allocation of
 goods and
 services*

2 The diagram shows a production possibility curve for an economy that produces only two goods, X and Y.



The economy produces 400 of good Y and produces on its production possibility curve.

Which quantity of good X is given up?

- A 600 ☒ B 800 C 1200 D 1600

3 In the recession of 2011 some governments decided to reduce expenditure and decrease the numbers working in the public sector. Trades unions organised a mass demonstration in protest.

Which question relating to the government decision is a normative question rather than a positive question?

- ☒ A How should public sector industries be run?
 B What goods and services are produced by the public sector?
 C When the government reduced its expenditure what happened to the level of unemployment?
 D Why was there a trade union protest?

In many disciplines, including economics and philosophy, a normative statement expresses a value judgment about whether a situation is desirable or undesirable. Whereas a descriptive statement is meant to describe the world as it is, a normative statement is meant to talk about the world as it should be.

Positive statements are distinct from normative statements. Positive statements are based on empirical evidence, can be tested, and involve no value judgements. A normative statement expresses a judgment about whether a situation is desirable or undesirable, which can carry value judgements.

Medium of exchange is one of the three fundamental functions of money in mainstream economics. It is a widely accepted token which can be exchanged for goods and services.

3 In economics standard of deferred payment is a function of money. It is the function of being a widely accepted way to value a debt, thereby allowing goods and services to be acquired now and paid for in the future.

4 The table identifies the functions of money and the principal benefit that each function produces.

Which function of money is correctly matched with its principal benefit?

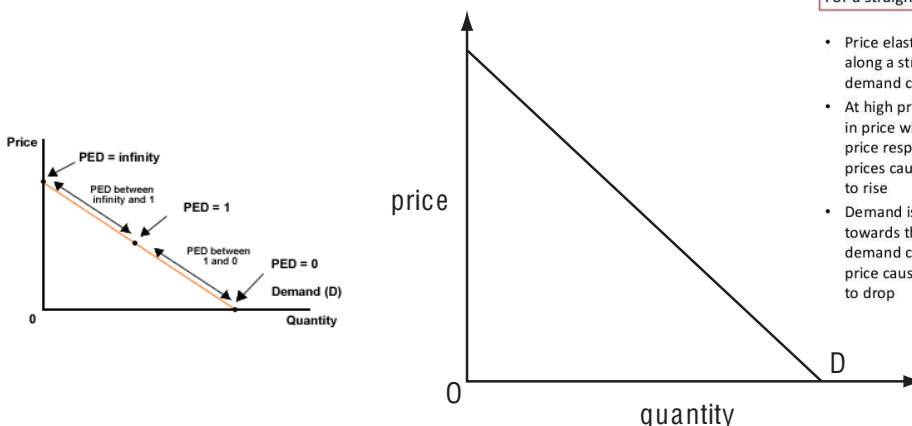
	function	benefit
A	medium of exchange	permits a system of credit to operate
B	standard of deferred payment	encourages the accumulation of funds for future use
C	store of wealth	overcomes the drawbacks of the barter system
☒ D	<u>unit of account</u>	<u>allows the relative value of goods to be compared</u>

In economics, unit of account is one of the functions of money. The value of something is measured in a specific currency. This allows different things to be compared against each other; for example, goods, services, assets, liabilities, labor, income, expenses. It lends meaning to profits, losses, liability, or assets.

5 Which change does not have an immediate effect on the position of the demand curve for a product?

- A a fall in the price of a complementary product *(Demand shifts right)*
- ☒ B an increase in the labour costs of its production *Supply ↓ (movement in demand)*
- C a range of new products entering the market *Demand shifts*
- D a rise in the price of a substitute product *Demand shift*

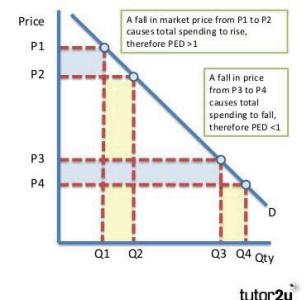
6 The diagram shows the demand curve for a product.



Co-Efficient of PED along a linear demand curve

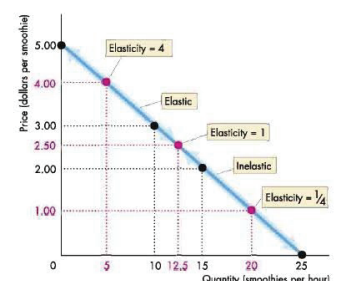
For a straight-lined demand curve, the PED varies along the curve

- Price elasticity of demand along a straight line demand curve will vary
- At high prices, a reduction in price will have an elastic price response – i.e. lower prices cause total revenue to rise
- Demand is price inelastic towards the bottom of the demand curve – a fall in price causes total revenue to drop



Which statement is correct?

- A Demand is less elastic at higher prices than at lower prices. *other way round*
- ☒ B Consumer expenditure on the product always rises when price falls. *Not in case of inelastic*
- C Price elasticity of demand is different at every price.
- D Price elasticity of demand equals one at every price. *only unitary (Rectangular hyperbola)*



On a linear demand curve, elasticity decreases as the price falls and the quantity demanded increases. Demand is unit elastic at the midpoint of the demand curve (elasticity is 1). At prices above the midpoint, demand is elastic; at prices below the midpoint, demand is inelastic.

- A It is an ^{-ve} inferior good with ^{High} close substitutes.
 B It is an inferior good with weak complements. (XED)
 C It is a ^{+ve} normal good with close substitutes.
 D It is a ^{+ve} normal good with weak complements. (XED)

- $$Q_S = 10P_X$$

What can be deduced from the equation about the elasticity of supply of good X?

- 9 There are three firms (X, Y and Z) supplying a market. The table shows their supply at four different prices.

price (\$)	firm X's supply	firm Y's supply	firm Z's supply
10	50	40	10
20	60	60	20
30	85	80	35
40	115	100	55

100
140
200
270

Halve

Which price change is required for market supply to halve? *Half*

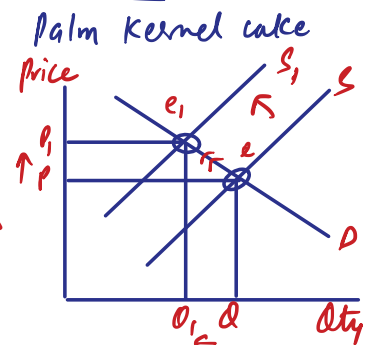
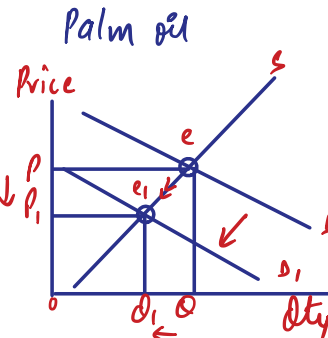
- A** \$20 to \$10
fall of 40
- B** \$30 to \$10
fall of 100
- C** \$30 to \$20
fall of 60
- D** \$40 to \$20
fall of 130

5

- 10 Palm oil and sunflower oil are substitutes. (true)
Palm oil and palm kernel cake for animal feed are in joint supply.

Other things being equal, what will be the effects of a fall in the price of sunflower oil?

	price of palm oil	price of palm kernel cake
A	fall ✓	fall
B	fall ✓	rise ✓
C	rise	fall
D	rise	rise ✓



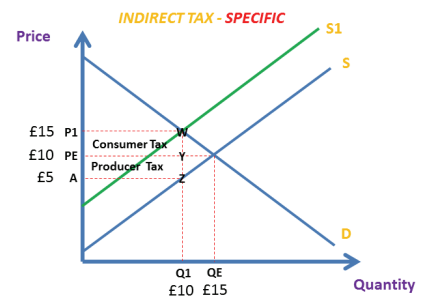
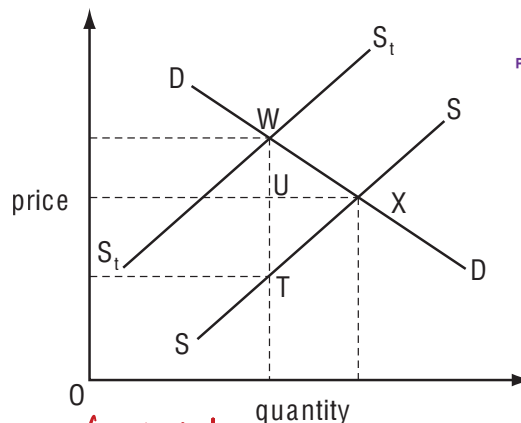
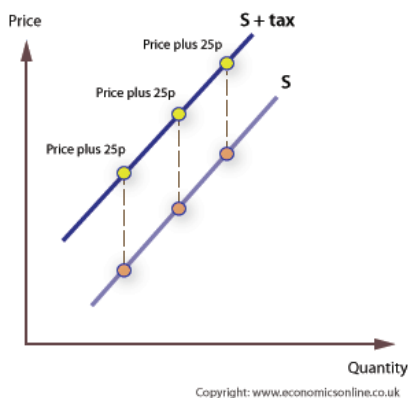
- 11 A rise in the price of a good is accompanied by an increase in the quantity demanded.

What could explain this?

- A Consumers spend a high proportion of disposable income on the good.
B The price of a complementary good has also increased.
C The substitute goods are all very much more expensive.

- ~~D~~ The price of the good is taken to be an indication of the level of quality. *High price means high quality*

- 12 A specific tax is placed on the sale of bottles of lemonade. In the diagram, SS is the supply curve before imposition of the tax and $S_t S_t$ is the supply curve after tax.



Which distance represents the specific tax on each bottle?

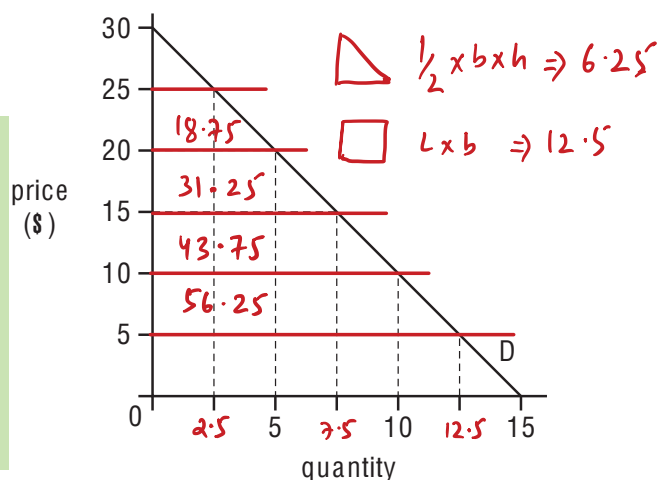
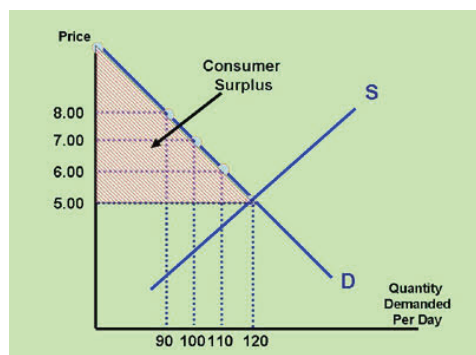
- A UT
P.B

- ~~B~~ WT

- C WU
C.B

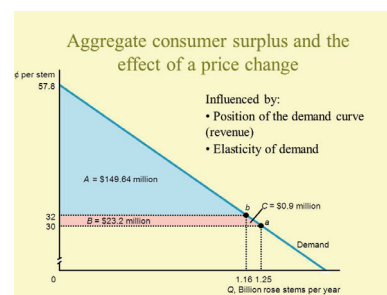
- D WX
movement along the demand curve

13 The diagram shows a consumer's demand curve for a product.



How does consumer surplus change as the price of the product falls by \$5 increments between \$20 and \$5?

- A It increases at a constant rate (%) with each \$5 fall.
- B It increases by a constant amount with each \$5 fall.
- C It increases by a decreasing amount with each \$5 fall.
- ☒ D It increases by an increasing amount with each \$5 fall.



14 The table below shows the results of a government survey into the economic effects of the use of chewing gum in a country.

	US \$ million
private cost	300
social cost	400
private benefit	350
social benefit	450

$$SC - PC = EC$$

$$100$$

$$SB - PB = EB$$

$$100$$

$$EB - EC$$

What is the net external benefit of chewing gum to the economy?

- ☒ A US \$0 million (100 - 100)
- B US \$50 million
- C US \$100 million
- D US \$800 million

External cost is a cost borne by third party for which no appropriate compensation is made e.g. pollution 7

15 Which statement about a product with external costs must be correct?

- A The consumption of the product has positive effects on third parties. *EB*
- B The private costs of its production exceed the social costs of its production. *(can't)*
- ☒ C The production of the product has negative effects on third parties.
- D The social costs of its production exceed the social benefits of its production. *Not specific about 'Ec'*

16 The government buys more speed cameras from the manufacturer. What would be included among the external benefits of increasing the number of speed cameras on a country's roads?

	additional jobs in camera production	additional government revenue from fines on motorists	a reduction in road accidents	a reduction in fuel consumption
	<i>price attached</i>	<i>price attached</i>	<i>No price attached</i>	<i>considering pollution</i>
☒ A	<u>no</u>	<u>no</u>	<u>yes</u>	<u>yes</u>
B	<u>no</u>	yes	<u>yes</u>	no
C	yes	<u>no</u>	no	<u>yes</u>
D	yes	yes	no	no

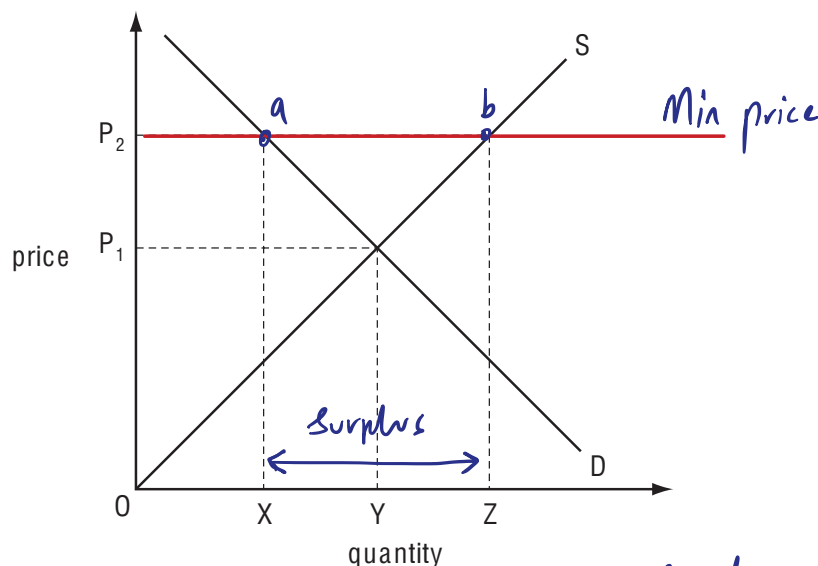
17 Advances in technology are turning a number of goods which are usually thought of as public goods, for example, television broadcasting, into private goods.

Why might this be so?

- A Consumer surplus is being increased.
- B The costs of production are being reduced.
- ☒ C It is becoming easier to exclude non-payers. *(price can be attached)*
- D The technology is increasing the number of people consuming the goods.

free
rider
problem

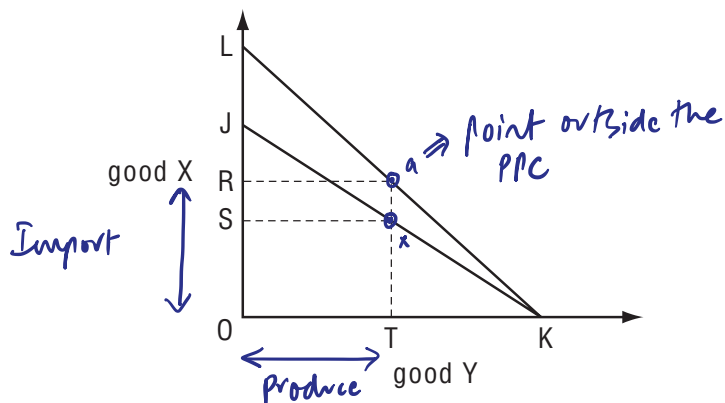
18 The diagram shows the market for wheat.



If the government wishes to fix the price at OP_2 what quantity of wheat must the government buy?

- A** OZ *Total production*
 B XY *Reduction in consumption*
 C XZ *✓ Surplus*
 D YZ *Extension in production*

19 In the diagram, JK is a country's production possibility curve. LK is its trading possibility curve which shows possible combinations of good X and good Y after specialising in the product in which it has comparative advantage, and then trading it.



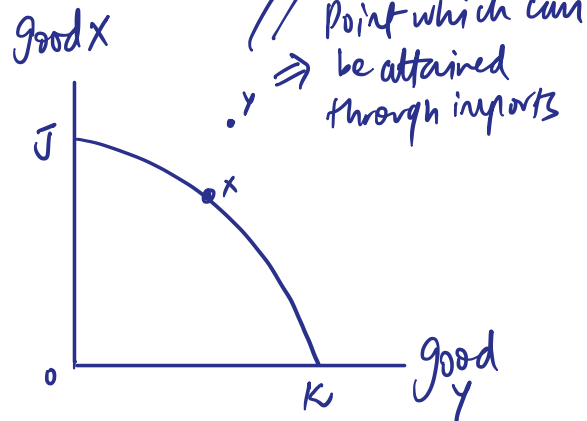
The country consumes OR of good X and OT of good Y.

Which quantities of goods X and Y does it produce?

	good X	good Y
A	JS	OT
B	OS	OT
C	RS	TK
D ✓	zero	OK

As it imports

After specialization, only produces good Y



20 What would be least likely to restrict international trade?

- A increasing shipping charges (Transportation cost)
 B more complex customs procedures (Difficult to trade)
 ✓ C rising levels of global income [More choices]
 D rising unemployment in developed countries (Protecting industries)

21 A country's terms of trade increased from the base year value of 100 to 120 in the following year.

What changes in export prices and import prices would have caused this?

X price and
M price to be
100 in the
start!

TOT ↓
TOT: 122.2

TOT: 125

	export prices	import prices
A	decreased 10%	increased 10%
B	increased 10%	decreased 10%
✓ C	increased 20%	unchanged
D	unchanged	decreased 20%

$$TOT = \frac{X \text{ prices}}{M \text{ prices}} \times 100$$

$$TOT = \frac{20\% \uparrow}{100} \times 100$$

$$TOT \Rightarrow 120$$

22 The balance of payments accounts are arranged in the following way.

Which total is the current account balance?

balance of trade in goods
+ balance of trade in services
= total A
+ net income
= total B
+ net transfers
= total C ✓
+ capital balance
= total D
financial balance
errors and omissions

current
account

capital
account

financial account

suspense account

$$\text{unemployment rate} = \frac{\text{unemployed}}{\text{labour force}} \times 100$$

$$10\% = \frac{x}{50} \times 100$$

$$x = 5$$

$$50 - 5 \Rightarrow 45 \text{ million}$$

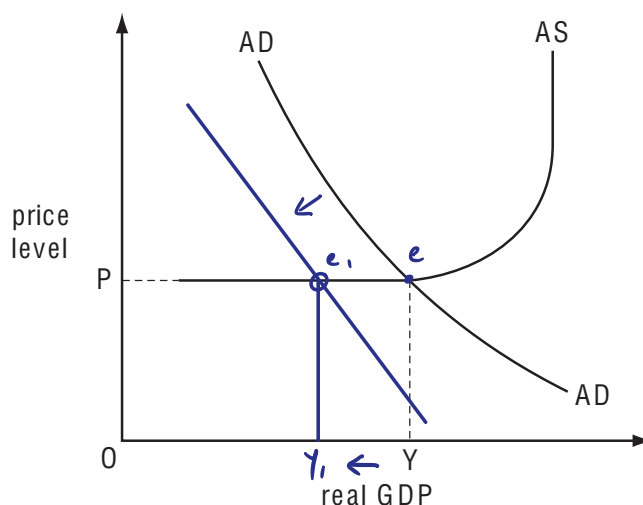
23 A country has a population of 100 million. 60 million are of working age and 50 million are in the labour force. The country's unemployment rate is 10%.

How many people are employed?

- A 40 million ✓ B 45 million C 50 million D 54 million

$$\text{Labour force} = \text{Employed} + \text{Unemployed}$$

24 The diagram shows the output of an economy.



What would be the effect of a decrease in net exports? $AD \downarrow = C + I + G + (X - M)$
 $\downarrow$

	aggregate supply	price level	real GDP
A	shift	decrease	unchanged
B	shift	unchanged ✓	decrease ✓
C	unchanged ✓	increase	unchanged
D	unchanged ✓	unchanged ✓	decrease ✓

25 A country experienced an annual inflation rate of 2% for four successive years.

Which statement is correct for the four-year period?

- A** The price level rose by 8%.
- B** The price level rose by more than 8%.
- C** The real value of money rose by 8%.
- D** The real value of money rose by more than 8%.

(considering the anticipation, it's always higher than the rate)

26 In 2010 it was reported that there were concerns when a government kept interest rates very low despite a threat of inflation.

Why might the government's policy have caused concern at this time?

- A** Low interest rates encourage increased consumer spending.

B Low interest rates lead to increased spending on capital equipment. $AS \uparrow$

C Low interest rates mean imports will increase. $AD \downarrow$

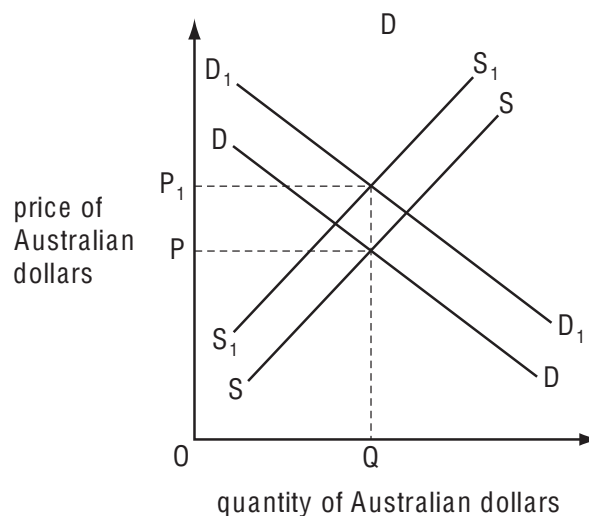
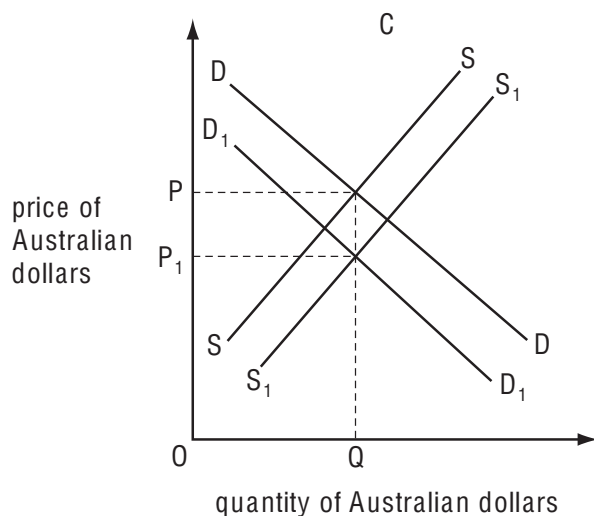
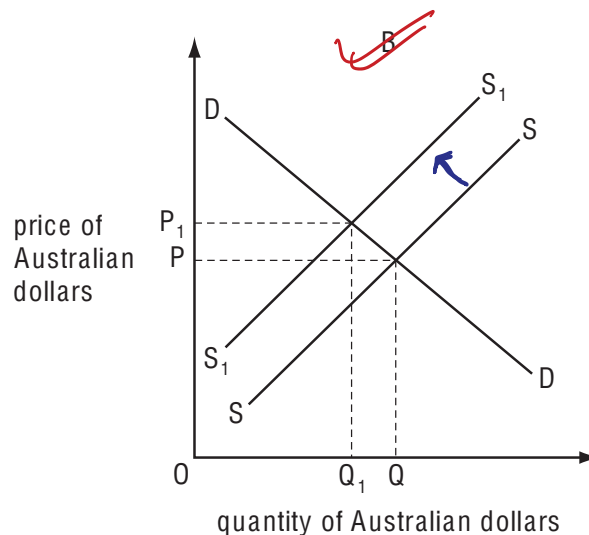
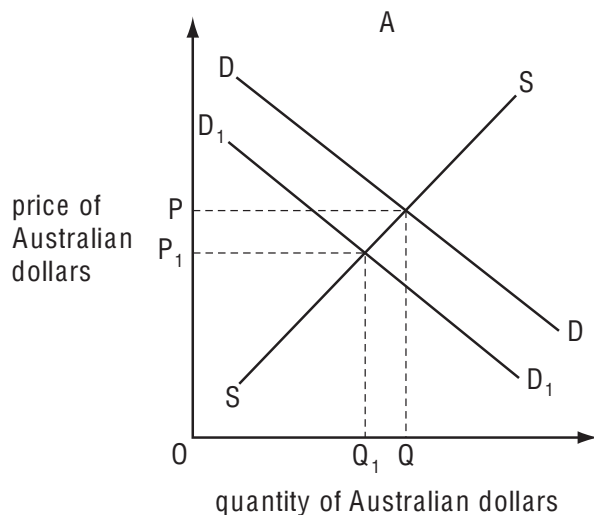
D Low interest rates will cause an increase in the exchange rate. $Wrong, ER \downarrow$

$\downarrow$
Interest rate and Exchange rate have a positive relationship

Supply of currency ↓ as
less payments to be made¹¹

- 27 Australia's spending on imports falls and, at the same time, investment abroad by Australian firms declines.

Which diagram shows the immediate effect of these changes on the market for the Australian dollar?



- 28 Which policy, adopted by a government with the intention of reducing the rate of inflation, might cause a greater deficit on the balance of payments?

☒ A higher foreign exchange rates for its currency

☐ B higher interest rates for domestic customers

☐ C higher subsidies to domestic producers $AS \uparrow$ (prices ↓)

☐ D higher tax rates on consumer incomes

$r \uparrow$
save ↑
spend ↓
 $M(TE) \downarrow$

↓
Disposable income ↓
 $C \downarrow$
 $M(TE) \downarrow$

Appreciation (Revaluation)

$X \text{ prices} \uparrow$
 $X \text{ qty} \downarrow$
 $X(TE) \downarrow$
 $M \text{ prices} \downarrow$
 $M \text{ qty} \uparrow$
 $M(TE) \uparrow$

BoT deficit
incomes ↓
 $AD \downarrow$

[inflation controlled] [Turn over]

29 What is likely to result in an increase in a country's balance of payments deficit (disequilibrium) in the short run but may reduce it in the long run?

- A an appreciation of the country's currency *BoT deficit*
- ☒ B substantial foreign investment by the country's residents *Immediate (BoP -ve) → Subsequent (BoP +ve)*
- C the introduction of controls on capital outflows
- D the introduction of import quotas *Protectionism policy*

30 A depreciation of the exchange rate of the pound sterling against the US dollar from £1:\$1.50 to £1:\$1.00 must mean that

- ☒ A dollars will become more expensive in terms of pounds.
- B the pound will be undervalued. *No, depreciated*
- C UK imports from the US will become cheaper. *No, expensive*
- D US imports from the UK will become more expensive. *No, cheaper*

Earlier $\Rightarrow$ £1 : \$1.50

Now $\Rightarrow$ £1 : \$1.00

Depreciate

↓
X prices ↓
M prices ↑

Appreciate

↓
X prices ↑
M prices ↓